(Don't Write anything in this Area)

3.c) How does Polanyi's understanding of the social embeddedness of economic activity challenge traditional conceptions of the economy as a separate sphere of life? (15 marks)

Karl Polanyi: a substantivist, understands the world through the 'social context' of embeddedness as mentioned in his "Economy as an Instituted Process"

Cook refers to the Substantivist versus Formalist debate as reinvigorating the economic anthropology discipline wherein traditional (Formalism) is challenged

Formalists (Herskovitz Schneider & Salisbury)

① Rationality principle → using the produce optimally

② Maximisation principle : best use of resources

③ Market principles : profit & loss

④ Scarcity assumption

Argued that universal principles apply to tribals as well

Karl Polanyi and colleagues (Dalton Bohanon, Sahlins) argue economic sphere of Tribals are distinct, must be understood in own context only

They defy

1. Rationality principle
   eg 'Kwakiutl Text' (Boas) → destruction of wealth in Potlach.
2. Maximisation principle
   eg Kuikuru tribe (Carneiro) working 3½ hours a day.
3. Market principles → Reciprocity, → Redistribution, → Domestic transaction

do not preference profit

Great Transformation (Polanyi)

eg Silent Barter → value of goods transferred not equal

eg Mexican highlanders trade with Athabascans

Hence,

① The economy does not have an independent existence

(eg) Market of Tiv of Nigeria used for special announcement

② Every economic action does not necessarily mean economic intent

(eg) Trobrianders Kula ring 'Gimwali' [utilitarian] vs Wasali [non utilitarian]

③ Coexists with other institutions

(eg) Religion Kula for better catch of fish

(eg) Social cohesion Ibo market ring

④ Solidarity and kinship is at heart of tribal economy

With changing times, mode of exchange (currency) permeating tribal culture it is more ~~prevalent~~ pertinent to study longitudinal changes due to market forces while recognising tribals as 'optimisers not maximisers' (S[illegible]s)